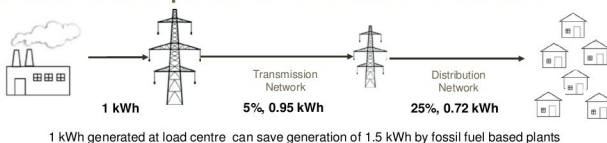


Benefit of Rooftop Solar Photovoltaic to the DISCOM



Parameters	Unit	FY 15
Sales	GWh	63183
D Loss	%	23.50%
Energy @ DISCOM Periphery	GWh	62952
D Loss	GWh	19409

Disallowance in Power Purchase	Unit	FY 09	FY 10	FY 11
Units Procured	GWh	2609	3675.38	1601.76
Avg. Procurement Rate	₹/kWh	7.05	5.16	7.49
Ceiling Rate	₹/kWh	4.92	5.00	5.87
Disallowance	₹ Cr	555.87	60.22	259.86

Fig. 2: Benefits of rooftop solar photovoltaic to the DISCOM

(source: <http://mnre.gov.in/file-manager/UserFiles/Presentation-on-Consultation-Meet-with-Channel-Partner-by-GIZ-ComSolar.pdf>)

immense growth potential in the online space. One may opt to open an online solar market place of products or invest in creating an exclusive job portal for the same.

India Go Solar is an online ecommerce platform that sells solar related goods and services. India Solar Talent is an online recruitment platform for solar jobs.

Benefits provided by the government

The government provides 30 per cent capital subsidy to residential, government, social and institutional sectors for solar rooftop installations. The country has increased its rooftop budget by a significant 730 per cent since 2016. For states like Sikkim, Uttarakhand, Jammu and Kashmir, Lakshadweep, and Andaman and Nicobar, the subsidy is as high as 70 per cent.

Haryana, Rajasthan and Maharashtra have already started reaping the benefits of solar power, while Delhi and Punjab are

promoting them in a big way for faster adoption by the masses.

For clarity of the thoughts exchanged here, we discuss below a project with total generation capacity of 1MW per day. Section 32 of Income Tax Act provides for accelerated depreciation of 80 per cent invested capital into solar PV projects to professional companies with tax liabilities. Investors can set off tax liability on their taxable

income to the tune of 80 per cent in the first year, and subsequently 20 per cent from second year onwards.

Example: If your company paid Rs 33 as tax on a profit of Rs 100 earlier, by installing a solar plant at a cost of Rs 100, you can simply claim a depreciated expense of Rs 80 (80 per cent) in the first year, thus reducing your profit for tax purposes to Rs 20. Now, you need to pay just Rs 6.6 as tax. In other words, you

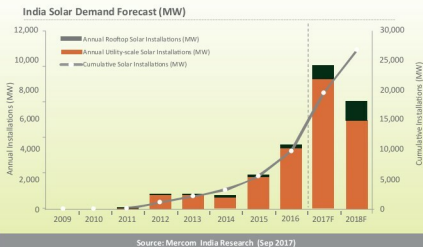


Fig. 3: India's solar demand forecast (source: Mercom India Research)